Stock market crashes can put even the most confident of investors on edge. In 2020, the Indian stock markets witnessed a near 40 per cent fall, and then recovered. This year, we have witnessed a 10 per cent fall since the beginning of the year, which recovered only to fall again. Add to this market uncertainty, rising inflation and loan interest rates, and it is becoming more and more tough to stomach the wild market swings in your investment portfolio's value.

For scores of investors, when the stock markets are on the rise, there is little convincing needed to stay invested, but when the markets witness falls, investors get into a frenzy. Several seasoned investors have learnt the hard lesson of reacting in such situations—one must stay calm and avoid making emotional decisions.

But, that is easier said than done for first-time investors, who are yet to understand that how markets move is largely out of our control. It is important to control our reaction to volatility. While it is understandable to be anxious, it is essential to not let emotions dictate your investment decisions.

Over the past few decades, stock market swings have only been on the rise, and caused by seemingly unrelated events, such as wars, a pandemic or financial crisis. But a careful analysis can be educative for investors in making them understand the true meaning of risk.

To add to these anxieties, there are several myths circulating about stock markets that can confuse and create doubts in the minds of investors. Hastily acting on these myths, many investors often exit their investments or make poor calls that impact the worth of their portfolios. The key to successful investing is the same as it was in the past—keep it simple and have a plan in place. By developing and adhering to a financial plan, you will be able to look past short-term volatility and stay focused on your own unique investment objectives.

Think of it like starting a fitness regime. There is no perfect time to invest because there is no way one can predict stock market movements. Make a start by getting to know the investment myths, getting past them and developing a financial plan that aligns with your needs and your risk-taking abilities. Here are 10 myths and how you can overcome them to become a successful investor. ■



Graphics by ASIT ROY

MYTH #1

I NEED A LOT OF MONEY TO START INVESTING

This statement was true several years ago as disposable income was at a premium. Moreover, it cost to place a trade order through a stock broker and information was limited, which means investing was out of reach for many people. Today, you can open a trading and demat account within minutes to start investing.

Trading apps make investing possible on your smartphone. Not just investing directly in stocks, investing in equity mutual funds has meant you can start investing with as less as Rs 500 in the stock markets. Moreover, over the years, the markets have matured with the probability of cheating and scams coming down, bringing in greater investor protection. There are also professional advisors whom one can engage to start investing in an informed manner. Investing, therefore, is no longer an expensive proposition. ■

MYTH #2

I CAN WAIT FOR THE BEST TIME TO GET INTO THE MARKET

Ideally, the best day to invest is the day the markets are at a low. But how do you know which day that is? Only when you have backdated information can you tell the date that was the best to invest in, which is a handy exercise in hindsight. In reality, timing the market is not just difficult, it is quite impossible.

Seasoned investors are those who believe in spending time in the market than timing the market. Instead of waiting for the right date to invest, it is a better idea to make a start anyway, because waiting for the right day can result in your missing out on several good opportunities. There is a way out of this nervousness about investing right away—you could consider 'rupee cost averaging' by investing a fixed sum at regular intervals of time. In the case of mutual funds, the systematic investment plan (SIP) has emerged as a perfect instrument for those who want to invest regularly.

When investing through SIPs,